

Contestant Number: _____

Time: _____

Rank: _____



Fundamental Accounting

(100)

State 2024

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (18 @ 3 points each) _____ (54 points)

Job 1: Analyzing Transactions _____ (70 points)

Job 2: Financial Analysis (11 @ 4 points each) _____ (44 points)

TOTAL POINTS _____ ***(273 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Clancy Inc estimates that 2% of their credit sales will be uncollectible. If total sales for the year are \$410,000, of which \$265,000 were cash sales, what will be the amount of the adjusting entry for Uncollectible Accounts Expense.
 - A. 2,900
 - B. 5,300
 - C. 8,200
 - D. 13,500
2. What is the last closing entry for a corporation?
 - A. Transfer net income to Income Summary
 - B. Transfer net income to Retained Earnings
 - C. Close Retained Earnings to Dividends
 - D. Close Dividends to Retained Earnings
3. Net sales is found by _____.
 - A. adding Sales Discount to Sales
 - B. adding the sum of Sales Discount and Sales Returns to Sales
 - C. subtracting the sum of Sales Discount and Sales Returns from Sales
 - D. subtracting Sales Returns and adding Sales Discount to Sales
4. What is the time period that distinguishes current assets from plant assets?
 - A. One month
 - B. One quarter
 - C. One year
 - D. Three years
5. Which of the following are all Stockholder Equity Accounts?
 - A. Common Stock, Retained Earnings, Preferred Stock
 - B. Capital Stock, Dividends, Drawing
 - C. Capital, Drawing, Income Summary
 - D. Common Stock, Retained Earnings, Drawing
6. Who pays Medicare and Social Security taxes?
 - A. Neither the employer nor the employee.
 - B. Only the employer.
 - C. Only the employee.
 - D. Both the employer and the employee.
7. Which of the following is a permanent account?
 - A. Sales Returns
 - B. Retained Earnings
 - C. Cash Short and Over
 - D. Purchases

8. Merchandise is sold on account for \$6,850. The sales tax rate = 7.5%. The journal entry will include a credit to Sales for what amount?
- A. 513.75
 - B. 6,336.25
 - C. 6,850.00
 - D. 7,363.75
9. Which of the following transactions results in no change to Total Assets?
- A. Purchase of office equipment on credit.
 - B. Collecting an accounts receivable after the discount period.
 - C. Selling equipment for cash at a price greater than book value.
 - D. Signing a promissory note with the bank.
10. What is the primary difference of the income statement of a merchandising business versus that of a service business, both organized as a corporation?
- A. Net Revenue Section
 - B. Cost of Merchandise Sold Section
 - C. Income Tax
 - D. Component Percentages
11. Purchase Discounts and Accumulated Depreciation are both _____ accounts.
- A. debit balance
 - B. asset
 - C. contra
 - D. expense
12. How do you calculate the book value of a plant asset at the end of its 2nd year?
- A. Cost minus Accumulated Depreciation
 - B. Cost plus Accumulated Depreciation
 - C. Cost minus Annual Depreciation
 - D. Cost plus Annual Depreciation
13. The entry to establish a petty cash fund includes a _____.
- A. debit to various expense accounts and a credit to Petty Cash
 - B. debit to cash and a credit to various revenue accounts
 - C. debit to Cash and a credit to Cash Short and Over
 - D. debit to Petty Cash and a credit to Cash
14. An independent accountant who provides accounting services to the public for a fee is known as a _____.
- A. Certified Independent Auditor
 - B. Certified Public Auditor
 - C. Certified Private Accountant
 - D. Certified Public Accountant

15. What do the terms 2/10, n/30 mean?
- A. If you pay within 30 days, you can take 10% off.
 - B. If you pay within 10 days, you can take 2% off.
 - C. The net amount is due in 2 days, then 10 days.
 - D. The net amount less 2% is due in 30 days.
16. What is the normal balance of a cost account?
- A. Debit.
 - B. Credit.
 - C. Right side.
 - D. Decrease side.
17. What types of transactions are recorded in a Sales Journal?
- A. Cash sales and credit card sales
 - B. Sales on account only
 - C. Credit card sales and sales on account
 - D. Credit card sales only
18. Which of the following would be an account for a corporation, but not a partnership?
- A. Drawing.
 - B. Dividends Payable.
 - C. Capital.
 - D. Income Summary.
19. On September 1, 2024, a company purchased a one-year insurance policy for \$1,800, paying the full amount up front. What is the associated insurance expense for 2024?
- A. 450
 - B. 600
 - C. 900
 - D. 1,800
20. A contra revenue account will _____.
- A. decrease the amount of net sales for the period
 - B. increase the net income of the period
 - C. increase the cost of merchandise sold for the period
 - D. decrease the amount of total expenses for the period
21. A customer buys merchandise worth \$200, with a 6% sales tax, on March 10th. If terms are 2/10, n/30, how much would the customer pay on March 22nd?
- A. 200.00
 - B. 207.76
 - C. 212.00
 - D. 240.00

22. What types of transactions are recorded in the Purchases Journal?
- A. Purchases of merchandise with a debit card.
 - B. Purchases of merchandise on account, or for cash.
 - C. Purchases of merchandise on account only.
 - D. Purchases of merchandise for cash only.
23. What accounting concept requires the business to write a check to the owner if she withdraws money from the business?
- A. Matching expenses with revenues
 - B. Business entity
 - C. Going concern
 - D. Adequate disclosure
24. Who declares dividends for a corporation?
- A. CEO
 - B. CFO
 - C. Controller
 - D. Board of Directors
25. Using the straight-line method of depreciation for the same assets each year is a representation of what accounting concept?
- A. Consistent Reporting
 - B. Adequate Disclosure
 - C. Going Concern
 - D. Historical Cost
26. Every business uses the same journals to record transactions.
- A. True
 - B. False
27. The Objective Evidence accounting concept requires that there be proof that a transaction did occur.
- A. True
 - B. False
28. Payments for advertising, repairs and utilities are liabilities.
- A. True
 - B. False
29. Return on Sales is the ratio of net income to net sales.
- A. True
 - B. False
30. The form showing total earnings and taxes withheld for the year is Form W2.
- A. True
 - B. False

Account Identification – 45 Total points

Directions: For each account name below, indicate its classification, its normal balance side, and on which financial statement(s) the account appears. Some accounts may appear on more than one financial statement, in which case all must be shown to be correct. Use the appropriate abbreviations for your answers.

Classifications

A = Asset
L = Liability
SE = Stockholders' Equity
R = Revenue
CM = Cost of Merchandise
E = Expense

Normal Balance Side

Dr = Debit
Cr = Credit
N = Neither

Financial Statements

B = Balance Sheet
I = Income Statement
SE = Statement of
 Stockholders' Equity
N = None

Account Name	Classification	Normal Balance	Financial Statement
Merchandise Inventory			
Unearned Rent			
Interest Payable			
Credit Card Fee Expense			
Dividends			
Sales Discount			
Purchases			
Prepaid Rent			
Capital Stock – Preferred			
Supplies Expense			
Purchases Returns			
Accumulated Depreciation			
Equipment			
Sales			
Income Summary			

Short Answer Problems – 54 Total points

1. On March 26th KC Sunshine Inc purchases merchandise on account. The merchandise has a list price of \$6,850, and KC is given a trade discount of 40%. Terms of sale are 2/10, n/30. How much would KC pay on account if the invoice is paid on the following dates?
 - a. April 3rd _____
 - b. April 13th _____
 - c. April 28th _____

2. Wind & Fire Company shows the following information on the Statement of Stockholders' Equity for 2024.
Capital Stock, \$10 par value
 Balance, January 1st – 30,000 shares
 Additional shares issued, October 15th, 2024 – 10,000 shares at par
Retained Earnings Balance, January 1st - \$128,630
Dividends declared, \$0.20 per share – March 31st, June 30th, September 30th, December 31st
Net Income for 2024 - \$51,975
 - a. What is the ending balance shown for Capital Stock? _____
 - b. How much did Wind & Fire declare in dividends for 2024? _____
 - c. What was the net increase in Retained Earnings for 2024? _____
 - d. What is the ending balance of Retained Earnings? _____
 - e. What is the ending balance of Stockholders' Equity? _____

3. On February 16th, 2024, BG & Brothers Company signed a 90-day, \$8,500, 6.5% promissory note at a bank.
 - a. What account would be debited on February 16th? _____
 - b. What is the maturity date of the note? _____
 - c. What is the maturity value of the note? _____
 - d. What two accounts are debited on the maturity date? _____

4. On January 3rd, 2024, Five Jacksons Inc. bought a piece of equipment for \$10,400. The equipment is expected to have a useful life of 4 years, with a salvage value of \$2,000. Five Jacksons uses the straight-line method of depreciation.
- What is the annual depreciation on the equipment? _____
 - What is the equipment's book value at the end of 2025? _____
 - What is the ending book value at the end of 2026? _____
 - If Five Jacksons sold the equipment on April 2nd, 2027 for \$4,600, will it recognize a gain or loss, and how much will it be?

Gain or Loss? _____
Amount _____

Job 1 – Analyzing Transactions

Directions: Use the journal on the next page to journalize the following transactions for Fleetwood Sporting Goods Inc. for the month of March 2024. Fleetwood is a Retailer operated as a corporation and uses the following accounts. The sales tax rate is 7.5%. All sales and purchases on account will just use the general Accounts Receivable and Accounts Payable accounts, with no specific vendor or customer identified.

Cash	Sales
Petty Cash	Sales Discount
Accounts Receivable	Sales Returns & Allowances
Allowance for Uncollectible Accounts	Purchases
Supplies	Purchases Discount
Prepaid Insurance	Purchases Returns & Allowances
Prepaid Rent	Advertising Expense
Equipment	Delivery Expense
Accumulated Depreciation – Equipment	Insurance Expense
Accounts Payable	Miscellaneous Expense
Dividends Payable	Rent Expense
Sales Tax Payable	Repairs Expense
Capital Stock	Salary Expense
Retained Earnings	Supplies Expense
Dividends	Utilities Expense

Mar 2 – Received bill from Eagles Insurance for six-month policy, \$1,200. Cash was transferred to Eagles upon receipt.

Mar 4 – Sold merchandise on account, \$830, plus sales tax. Terms of the sale are 2/10, n/30.

Mar 5 – Mailed a check to Seger Realty for monthly rent, \$600.

Mar 7 – Sold merchandise to a customer worth 1,450, plus sales tax. The customer paid \$1,000 at the time of the sale. Terms of the sale are 2/10, n/30

Mar 8 – Bought Supplies for cash, \$650.

Mar 9 – Ordered merchandise over the phone from a vendor worth \$3,000. Terms of the sale are 2/10, n/30.

Mar 10 – Recorded cash and credit card sales of \$6,230, plus sales tax.

Mar 10 – Received payment in full from the sale on March 4th.

Mar 11 – Merchandise from the purchase on the 9th was received. Several pieces of merchandise were damaged, and thus returned to the vendor. The returned merchandise is worth \$1,000.

Mar 15 – Paid cash to Rolling Pebbles Publishing for advertising, \$700.

Mar 17 – Paid in full to the vendor from the March 9th order.

Mar 19 – Customer from the sale on account on March 7th paid off what was owed.

Mar 26 – Fleetwood declared a quarterly dividend of \$20,000, to be paid in April.

Mar 28 – Purchased merchandise on account from a vendor. The list price was \$2,500. The vendor offered a 60% trade discount.

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[illegible]

Job 2 – Financial Analysis

End of the year adjusted balances for Journey Electronics, Inc. are shown below.

Cash - \$32,850
Accounts Receivable - \$10,650
Allowance for Uncollectible Accounts - \$620
Supplies - \$3,800
Merchandise Inventory - \$104,100
Equipment - \$110,000
Accumulated Depreciation - Equipment - \$12,600
Accounts Payable - \$23,700
Sales Tax Payable - \$8,100
Employee Income Tax Payable - \$6,200
Social Security Tax Payable - \$3,700
Capital Stock - \$120,000
Beginning Retained Earnings - \$64,350
Dividends - \$18,000
Sales - \$408,870
Sales Discount - \$3,710
Purchases - \$228,750
Purchases Discount - \$3,090

Journey's Gross Profit for the year was \$185,300, and the Net Income for the year, after tax, was \$40,130. Find the following:

- a. Accounts Receivable Book Value _____
- b. Total Current Assets _____
- c. Total Assets _____
- d. Working Capital _____
- e. Current Ratio _____
- f. Total Liabilities _____
- g. Ending Retained Earnings _____
- h. Total Stockholders' Equity _____
- i. Total Liabilities & Stockholders' Equity _____
- j. Gross Profit Margin _____
- k. Return on Sales _____